

Interview Feedback

Brew & Bean Profitability · 2026-10-07 · Overall: strong

Top improvement

Put numbers on your recommendation and your defenses. Size the price lever: a 10% increase at a 42% contribution margin breaks even at about a 19% volume loss. State how many margin points each action recovers. Then lead the case by asking for the specific data you need, such as competitor pricing, instead of ending turns with 'What would you like me to look at next?'

Rubric Scores

Problem Structuring

adequate

What went well

The candidate restated the objective crisply and stated a hypothesis before asking for data.

"We want the root cause and a way to reverse it."

"Since revenue is up but margin is down sharply, my instinct is that costs have grown faster than revenue, but I'd want to confirm both sides."

The candidate prioritized the cost side with a reason tied to the size of the swing.

"I'd start with the cost side since that's where the 18-point swing most likely sits."

What needs work

When challenged, the candidate correctly diagnosed the overlap and repaired the structure by adding below-the-line items and mix. However, the opening framework was not MECE: the 'external factors' bucket double-counted drivers already inside the cost lines, and it took an interviewer push to surface this.

"Third, external factors: commodity prices, wage inflation, competition."

"my third bucket, external factors, overlaps with the first two, since commodity prices show up inside COGS and wage inflation shows up inside labor. So that's a driver, not a separate branch."

Price was buried as a sub-question of revenue growth rather than framed as a lever (price × volume) that can offset cost inflation, so the structure did not tie directly to the 'how to reverse it' decision.

"is the 15% growth coming from new stores, more transactions per store, or price?"

Missed opportunities

Turn 1, the opening framework.

A great answer: "Profit is revenue minus costs. On revenue I'd split price × volume, and volume into same-store versus new stores. On costs, COGS, store labor, occupancy/overhead, plus below-the-line items since this is net margin. External factors like commodity inflation and competitor pricing sit as the 'why' under each line. My hypothesis is that COGS rose faster than price, so I'd start there and also check whether we've had the pricing power to pass costs through."

Quantitative & Analytical Rigor

strong

What went well

The candidate reconciled the P&L, decomposed the 18-point decline into its drivers, and used the reconciliation as a sanity check.

"Two years ago: COGS 42 plus labor 22 plus overhead 12 equals 76% of revenue, leaving 24% — that matches the old margin exactly."

"Of the 18-point decline, COGS accounts for 16 points and overhead for 2."

The candidate converted nested percentages into points of revenue correctly and backed out the implied bean increase as a residual.

"Two years ago COGS was 42% of revenue; beans were 25% of that, so 10.5 points of revenue, and everything else was 31.5 points."

"Total COGS today is 58, so beans must be $58 - 43.3 = 14.7$ points, up from 10.5 — that's a 40% increase."

The candidate derived the eight-month runway out loud and caveated its limits as a straight-line, non-cash figure.

"So 6 divided by 9 equals two-thirds of a year, which is about eight months until margin hits zero."

"So I'd treat eight months as a directional urgency marker rather than a hard deadline."

What needs work

When defending the price lever against elasticity, the candidate stated the contribution margin but stopped short of computing breakeven volume loss. At a 42% contribution margin, a 10% price increase breaks even at roughly 0.42 / 0.52 = 81% of volume, so about a 19% volume loss.

“so it would take a fairly large volume loss to wipe that out — but it's not unlimited”

The candidate never sized how much price would be needed to close the gap, so the recommendation's magnitude stayed unquantified.

“First, immediate selective price increases on lower-elasticity drinks — this is the only lever that matches the size and speed of the problem.”

Missed opportunities

Turn 19, after the interviewer asked what happens if customers are more price-sensitive.

A great answer: “Contribution margin is 42 cents per dollar today. With a 10% price increase, each unit contributes 52 cents, so volume can fall to 42/52, about 81% of current, before profit drops. We can lose roughly 19% of volume and still break even. Specialty coffee elasticity is usually well below that, so a capped 5–8% increase is still very likely accretive.”

Data & Exhibit Interpretation

strong

What went well

The candidate isolated COGS as the driver, quantified its share, set labor aside, and went one level deeper.

“COGS is overwhelmingly the story — it's about 89% of the problem — so that's the line I'd go deeper on.”

The candidate read the exhibit systematically line by line and extracted a new insight (a linear, ongoing squeeze) with an implication.

“COGS moves 42 '50 '58, so eight points each year — steady and linear, not a one-time shock.”

“it's a persistent, ongoing squeeze, which suggests the pressure is still active”

The candidate tested whether beans alone explained COGS, concluded the inflation was across the board, and proposed next tests. The candidate never stated the quantified takeaway: beans explain only ~4.2 of the 16 COGS points and non-bean inputs ~11.8, which is the sharpest so-what for where procurement effort should go.

“So the story is input cost inflation across the board, roughly 37–40% on both beans and non-bean inputs”

“What I'd test next, if you'd like: whether the 15% revenue growth is volume or new stores, and what competitors have done on price.”

“Total COGS today is 58, so beans must be $58 - 43.3 = 14.7$ points, up from 10.5 — that's a 40% increase.”

What needs work

The exhibit read ended without a concrete next step, handing direction back to the interviewer.

“So it confirms COGS and inflexible pricing as the root cause, and adds urgency.”

Missed opportunities

Turn 9, right after deriving beans at 14.7 points.

A great answer: “So beans add about 4.2 points and the other inputs add about 11.8 of the 16-point COGS increase. Beans are only about a quarter of the problem. Dairy, packaging and food are three-quarters, so any procurement fix that focuses only on bean hedging misses most of it.”

Business Judgment & Insight

strong

What went well

The candidate reframed the root cause as a failure to pass through costs rather than only a cost shock, which is commercially sharp and points to the right lever.

“That's the root cause: a pricing failure as much as a cost shock, since a chain with pricing power normally passes some through.”

The candidate proactively surfaced risks with concrete mitigations.

“Risks: price elasticity is unknown, and competitors may have already raised prices, which would make this easier — or not, which makes volume loss real.”

“Next steps: elasticity test in a subset of the 200 stores, and a competitor price benchmark before a chain-wide rollout.”

The candidate adapted the plan pragmatically under high elasticity: narrower increases, a visible entry-price item, and customer-invisible levers.

“raise price only on the least elastic items and hold or even feature a visible entry-price drink so the chain doesn't look expensive”

What needs work

The procurement action in the recommendation names forward contracts only for beans, though the candidate's own math showed non-bean inputs drove most of the COGS rise.

“lock input costs through supplier renegotiation and forward contracts on beans so the ratchet stops”

The throughput idea rests on a loose inference: a stable labor percentage does not by itself show spare capacity.

| *"labor is flat at 22%, so scheduling to peak hours or mobile ordering could lift sales per store without adding cost"*

Missed opportunities

Turn 17, ordering the actions for the CEO.

| A great answer: "Second, renegotiate across all inputs, not just beans. Dairy, packaging and food drove roughly three-quarters of the COGS increase, so multi-year dairy and packaging contracts matter more than bean hedging alone."

Creativity & Brainstorming

strong

What went well

The candidate set up an explicit mini-structure and grouped ideas into six distinct buckets.

| *"Let me group them so I don't just list randomly."*

The candidate included non-obvious, operationally grounded ideas beyond list-price moves. However, the interviewer had asked for ideas beyond price and cost levers, and the first two buckets re-covered price and input cost, which diluted the time spent on genuinely new territory.

| *"reduce waste and spoilage — in coffee, milk waste and brewed-coffee dump rates can be material"*

| *"loyalty pricing so frequent customers feel less of it"*

| *"On price, beyond a straight increase: selective increases on low-elasticity items like espresso drinks"*

The candidate prioritized the levers into a clear sequence when synthesizing. During the brainstorm itself, though, ideas were listed without any in-turn signal of which were biggest or fastest.

| *"Order of actions. First, immediate selective price increases on lower-elasticity drinks"*

| *"On footprint: close or renegotiate underperforming leases, and reconsider the pace of new openings."*

Missed opportunities

Turn 15, closing the brainstorm.

| A great answer: "If I had to rank these, mix shift toward packaged beans and waste reduction are the fastest non-price wins, worth maybe 2–3 points. Footprint changes are bigger but slower. I'd start with the first two."

Synthesis & Recommendation

strong

What went well

The candidate led with a clear, committed recommendation and the reason behind it.

| *"My recommendation: raise menu prices, starting now and in a staged way, because the margin decline is a pricing failure more than a cost failure."*

Supporting evidence was tied directly to the analysis, followed by an ordered action list, risks and next steps, all delivered concisely.

| *"The evidence: of the 18-point margin decline, 16 points sit in COGS and two in overhead."*

| *"Next steps: elasticity test in a subset of the 200 stores, and a competitor price benchmark before a chain-wide rollout."*

What needs work

The recommendation had no magnitude: no target price increase and no indication of how many margin points each action recovers.

| *"Third, mix shift and waste reduction for a few points."*

Missed opportunities

Turn 17, stating the first action.

| A great answer: "First, an 8–10% increase on specialty drinks. That recovers roughly 5–6 margin points, assuming modest volume loss, and is the single biggest lever."

Communication & Delivery

strong

What went well

The candidate was consistently top-down, stating the conclusion or structure before the detail.

| *"The exhibit confirms the read and adds a trajectory."*

| *"If elasticity is high, the price lever partly breaks, so I'd want to size it before abandoning it."*

The candidate used hypothesis-driven phrasing and built on the interviewer's cues.

| *"my instinct is that costs have grown faster than revenue"*

| *"Fair push. It's roughly MECE but not fully clean"*

What needs work

Nearly every turn ended with the same stock hand-back, which reads as formulaic and undercuts the impression of case ownership.

| "What would you like me to look at next?"

Missed opportunities

End of Turn 11, after reading the exhibit.

A great answer: "Next, I'd like to see competitor pricing over the same two years to test whether we can raise prices without losing share. Do we have that?"

Pushback, Composure & Case Leadership

adequate

What went well

On the MECE challenge, the candidate acknowledged the specific flaw and updated with explicit reasoning rather than capitulating.

| "So that's a driver, not a separate branch. I'd fold externals in as a "why" layer under each cost line rather than a parallel bucket."

The candidate incorporated the earlier MECE feedback by asking for D&A in the P&L request.

| "COGS, store labor, rent and occupancy, marketing, corporate G&A, and D&A"

What needs work

The candidate repeatedly handed direction back to the interviewer instead of driving. Proposed tests such as competitor pricing and revenue mix were floated as optional and never pursued.

| "What I'd test next, if you'd like: whether the 15% revenue growth is volume or new stores, and what competitors have done on price. What would you like me to look at next?"

When asked about high elasticity, the candidate held the position with logic and adapted in layers. The defense of the price lever still stayed qualitative where a number would have made it decisive.

| "so it would take a fairly large volume loss to wipe that out"

| "If elasticity is high, the price lever partly breaks, so I'd want to size it before abandoning it."

| "That's slower and more painful, which is why I'd still test price first."

Missed opportunities

Turn 9, after identifying pricing as the root cause.

A great answer: "The critical next question is pricing power, so I'd like competitor price changes over the last two years. If peers have raised prices 8–10%, our room to move is clear."

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a minute if you need it, then tell me how you'd structure your approach.

Candidate · 0:35

Thanks. So to make sure I have it: Brew & Bean, 200 US locations, net margin fell from 24% to 6% over two years while revenue grew 15%. We want the root cause and a way to reverse it.

Since revenue is up but margin is down sharply, my instinct is that costs have grown faster than revenue, but I'd want to confirm both sides.

I'd structure it in three buckets. First, revenue quality: is the 15% growth coming from new stores, more transactions per store, or price? Growth from new store openings could carry startup costs and drag margin. Second, costs: split fixed versus variable — COGS like coffee beans and milk, labor, rent and occupancy, and corporate overhead. Third, external factors: commodity prices, wage inflation, competition.

I'd start with the cost side since that's where the 18-point swing most likely sits. What would you like me to look at next?

Interviewer · 0:38

A three-bucket structure, cost side first. Is that structure MECE, and what's missing from it?

Candidate · 0:44

Fair push. It's roughly MECE but not fully clean — my third bucket, external factors, overlaps with the first two, since commodity prices show up inside COGS and wage inflation shows up inside labor. So that's a driver, not a separate branch. I'd fold externals in as a "why" layer under each cost line rather than a parallel bucket.

What's missing: I said net profit margin but I only structured operating items. Below the operating line I should also check interest expense — if they financed new store openings with debt — plus depreciation and amortization on those builds, taxes, and any one-time charges like impairments or lease write-offs. Any of those could move net margin without touching operations at all.

I'd also add revenue mix explicitly: channel and product mix, since a shift toward lower-margin items like food or packaged goods would dilute margin even with revenue growth.

What would you like me to look at next?

Interviewer · 0:47

Understood. You've said costs are where you'd start. Which single branch would you test first, and what data would you ask for to do it?

Candidate · 0:53

I'd test the operating cost structure as a whole first, and within that, the largest line — which for a coffee chain is usually either COGS or store labor, each plausibly 25–35% of revenue. A line that big only needs to move a few points to explain a chunk of an 18-point swing, whereas corporate overhead would need an implausibly large jump.

The data I'd ask for: the P&L for both years, with each cost line expressed as a percentage of revenue — COGS, store labor, rent and occupancy, marketing, corporate G&A, and D&A. Comparing the percentages across the two years isolates which line grew faster than revenue, so I'm not fooled by absolute dollars rising just because revenue rose 15%.

Once I see which percentage moved most, I'd go one level deeper into that line.

Do we have that P&L breakdown? And what would you like me to look at next?

Interviewer · 0:55

Percent-of-revenue across both years, understood. COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%. What do these numbers tell you about where the margin went, and which line do you go deeper on?

Candidate · 1:01

Let me add these up. Two years ago: COGS 42 plus labor 22 plus overhead 12 equals 76% of revenue, leaving 24% — that matches the old margin exactly. Today: 58 plus 22 plus 14 equals 94%, leaving 6%. So the P&L closes cleanly on both ends.

Of the 18-point decline, COGS accounts for 16 points and overhead for 2. Labor is flat at 22%, so I'd set it aside. COGS is overwhelmingly the story — it's about 89% of the problem — so that's the line I'd go deeper on.

Going deeper, COGS as a percent of revenue can rise two ways: input cost per unit went up, or price per unit came down — or mix shifted toward lower-margin products. Do we have a split of that COGS line by input, and separately, has menu pricing changed at all over the two years?

What would you like me to look at next?

Interviewer · 1:04

A COGS-led decomposition. Coffee beans were 25% of COGS two years ago. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years. Menu prices have not changed in two years. Given those, what does the evidence say about why COGS rose, and what would you test next?

Candidate · 1:12

Let me work it per revenue dollar. Two years ago COGS was 42% of revenue; beans were 25% of that, so 10.5 points of revenue, and everything else was 31.5 points.

Other inputs up 37.5%: $31.5 \times 1.375 = 43.3$ points of revenue today. Total COGS today is 58, so beans must be $58 - 43.3 = 14.7$ points, up from 10.5 — that's a 40% increase.

So the story is input cost inflation across the board, roughly 37–40% on both beans and non-bean inputs, and crucially menu prices haven't moved in two years. They've absorbed every dollar of it. That's the root cause: a pricing failure as much as a cost shock, since a chain with pricing power normally passes some through.

What I'd test next, if you'd like: whether the 15% revenue growth is volume or new stores, and what competitors have done on price. What would you like me to look at next?

Interviewer · 1:14

Understood. Beans and the other inputs both moved sharply, with prices held flat. Here's an exhibit: Brew & Bean Cost Structure Over Time. Here's the cost structure over time. What does it tell you, and does it change or confirm your read?

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 1:20

The exhibit confirms the read and adds a trajectory. COGS moves 42 ' 50 ' 58, so eight points each year — steady and linear, not a one-time shock. Overhead creeps 12 ' 13 ' 14, one point a year. Labor is flat at 22 throughout. Profit falls 24 ' 15 ' 6, nine points a year, and eight of those nine come from COGS each year.

Two things that are new. First, this isn't a single bad year or a one-off contract reset — it's a persistent, ongoing squeeze, which suggests the pressure is still active and the margin would go negative in roughly eight months at this rate if nothing changes. Second, the linearity makes management inaction look structural: they watched nine points of margin disappear twice and still didn't move price.

So it confirms COGS and inflexible pricing as the root cause, and adds urgency.

What would you like me to look at next?

Interviewer · 1:22

Right. You said margin goes negative in roughly eight months at this rate. Walk me through how you got that.

Candidate · 1:27

Sure. Profit margin is falling about nine points a year — 24 to 15 to 6. Current margin is 6 points. So 6 divided by 9 equals two-thirds of a year, which is about eight months until margin hits zero.

I should flag two caveats on that. First, it's a straight-line extrapolation of a two-point trend, so it assumes input costs keep rising at the same pace, which I wouldn't take as given — commodity cycles can flatten or reverse. Second, it's a margin figure, not cash. Net margin crossing zero isn't the same as running out of cash, since D&A is non-cash and the timing depends on their balance sheet and any debt service. So I'd treat eight months as a directional urgency marker rather than a hard deadline.

What would you like me to look at next?

Interviewer · 1:29

Understood. The arithmetic holds, and you flagged the limits yourself. Beyond price and cost levers we've discussed, what else could Brew & Bean do to restore its margin? Give me as many distinct ideas as you can.

Candidate · 1:37

Let me group them so I don't just list randomly.

On price, beyond a straight increase: selective increases on low-elasticity items like espresso drinks, a size-and-price ladder, loyalty pricing so frequent customers feel less of it, and bundling food with coffee at a blended margin.

On input cost: renegotiate or consolidate bean suppliers for volume terms, forward-contract or hedge beans to stop the annual ratchet, dual-source dairy, cut packaging spec or push reusable cups, and reduce waste and spoilage — in coffee, milk waste and brewed-coffee dump rates can be material.

On mix: push higher-margin items — brewed drip, packaged beans, merchandise — and prune low-margin SKUs.

On overhead, which added two points: corporate headcount, marketing efficiency, and whether new-store support costs are being absorbed centrally.

On footprint: close or renegotiate underperforming leases, and reconsider the pace of new openings.

On throughput: labor is flat at 22%, so scheduling to peak hours or mobile ordering could lift sales per store without adding cost.

What would you like me to look at next?

Interviewer · 1:39

Got it. Pull it together for the CEO. What do you recommend, in what order, and why?

Candidate · 1:46

My recommendation: raise menu prices, starting now and in a staged way, because the margin decline is a pricing failure more than a cost failure.

The evidence: of the 18-point margin decline, 16 points sit in COGS and two in overhead. Labor is flat at 22%. Input costs rose roughly 37 to 40% across both beans and non-bean inputs, and menu prices have not moved in two years. The company absorbed all of it. At nine points of margin a year, they're roughly eight months from zero.

Order of actions. First, immediate selective price increases on lower-elasticity drinks — this is the only lever that matches the size and speed of the problem. Second, in parallel, lock input costs through supplier renegotiation and forward contracts on beans so the ratchet stops. Third, mix shift and waste reduction for a few points. Fourth, trim the two points of overhead.

Risks: price elasticity is unknown, and competitors may have already raised prices, which would make this easier — or not, which makes volume loss real.

Next steps: elasticity test in a subset of the 200 stores, and a competitor price benchmark before a chain-wide rollout.

Interviewer · 1:48

Understood. You named elasticity as a risk. If it turns out customers are far more price-sensitive than you assumed and volume drops, what happens to your recommendation, and how would you adapt it?

Candidate · 1:55

If elasticity is high, the price lever partly breaks, so I'd want to size it before abandoning it. At 58% COGS, contribution margin is about 42 cents on the dollar. A 10% price increase adds roughly 10 points of revenue at essentially no added cost, so it would take

a fairly large volume loss to wipe that out — but it's not unlimited, and high sensitivity means I'd cap the increase rather than take it all at once.

How I'd adapt. First, go narrower: raise price only on the least elastic items and hold or even feature a visible entry-price drink so the chain doesn't look expensive. Second, lean harder on the levers that don't touch the customer — supplier renegotiation, hedging beans, waste reduction, mix shift toward packaged beans and drip. Third, use loyalty and bundling to raise effective ticket without a headline price change.

If even that falls short, the question becomes structural: close weak stores, slow new openings. That's slower and more painful, which is why I'd still test price first.

What would you like me to look at next?

Interviewer · 1:56

We'll stop there. Thanks for working through the case — your written report will follow.